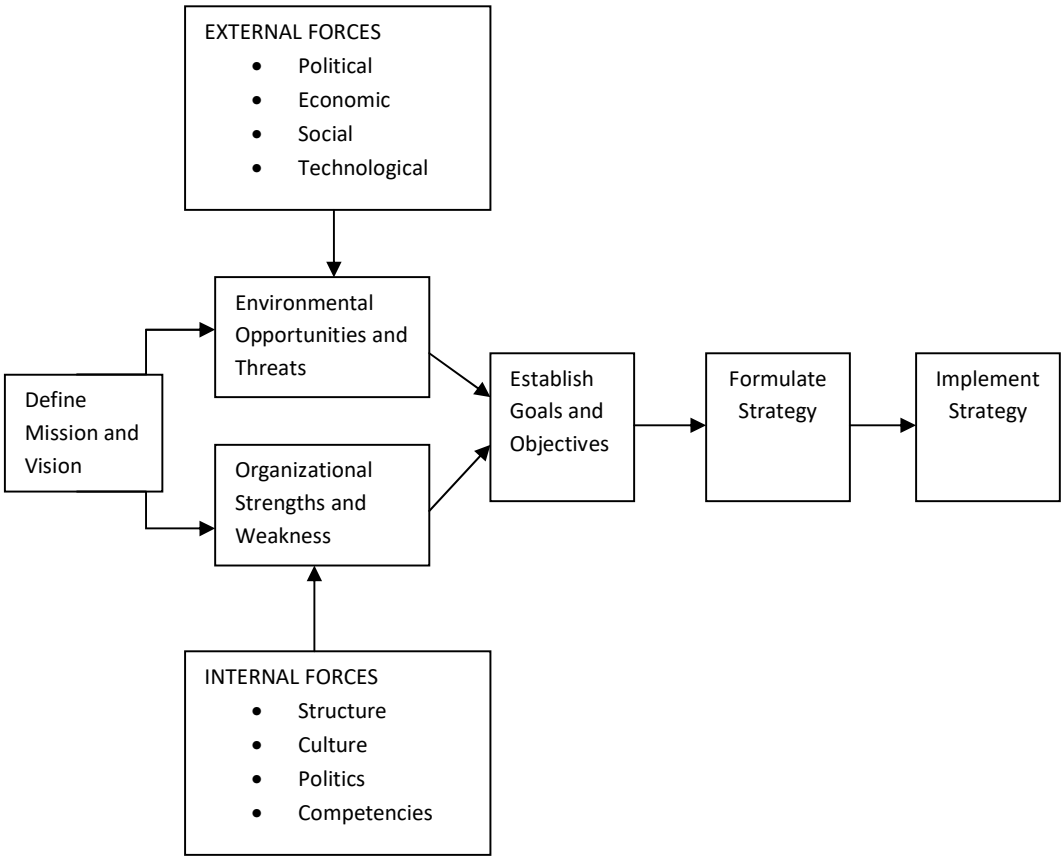
**Human Resource Management 1 – Human Resource Planning**

**Strategic Planning**

Companies must embrace that HRM is a critical ingredient in strategic planning and implementation. Strategy can be defined as a careful plan or method for achieving goals. A Strategic plan is usually for a three to five-year extended period. Strategic management has been defined by Fisher, Schoenfeldt, and Shaw as the set of decisions and subsequent actions used to formulate and implement strategies that would optimize the fit between the organization and its environment, to achieve organizational objectives.

In formulating a strategy, the organization must seek to exploit new environmental opportunities by capitalizing on its strengths; while overcoming internal weaknesses and protecting itself from threats in the environment.

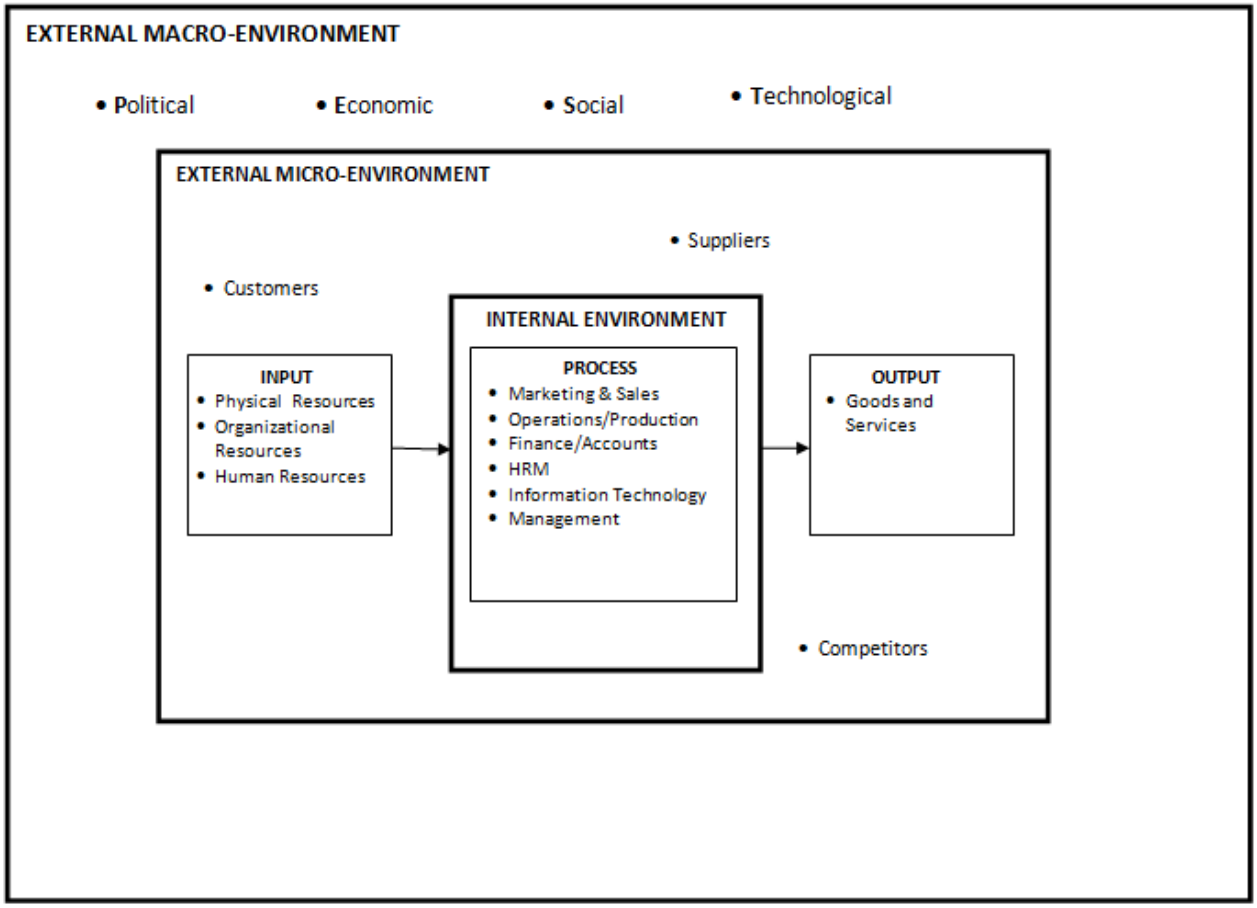



***Strategic Management Process:*** Source Yvonne Falconer 2001, MS32A Human Resource Management

Only after a company conducts a proper S.W.O.T. analysis can it determine whether its goals and objectives are attainable. Once that is done the choice of strategy can be formulated and implemented.

**The Business Environment**

The business environment means all of the internal and external factors that affect how the company functions.



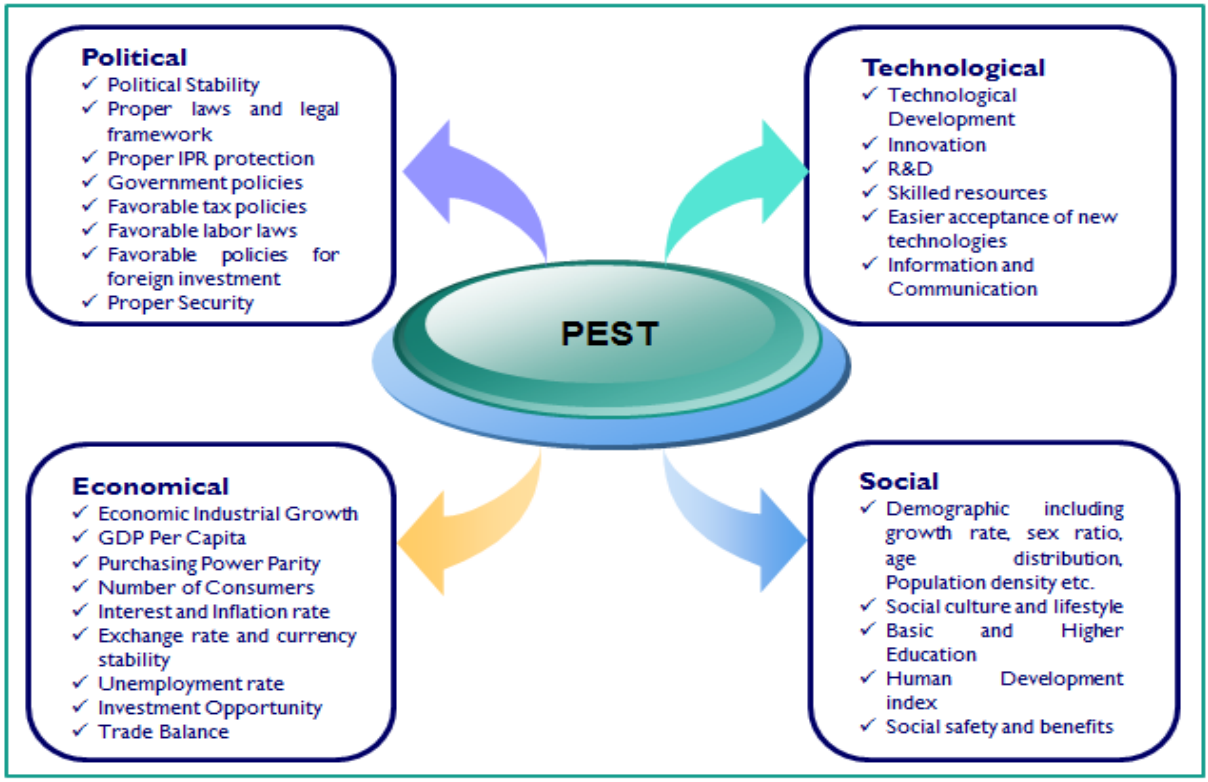

As shown above, the business environment is internal and external. The organization acquires input resources from the micro-external environment and brings them into the micro-internal environment. These resources filter into various departments in the organization, so that the company can process/produce goods and services for the micro-external environment.

The micro-environment represents the industry and market the firm operates in and includes factors such as customers, suppliers, and competitors.

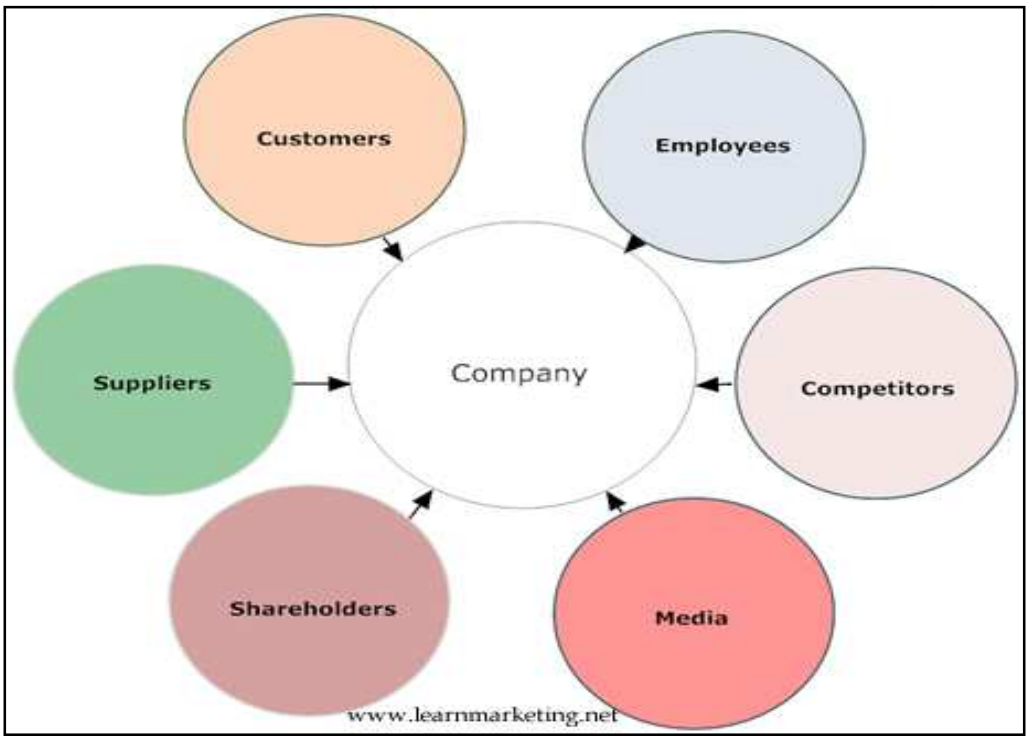
The macro-external environment involves national and international/global factors that the business is exposed to. Its effects go beyond the industry and market the firm belongs to. The macro-environment affects many different markets and industries.

The strategic process starts with an environmental analysis to determine the company's strengths, weaknesses, opportunities, and threats (SWOT).

## External (Macro) Factors




## Micro Environmental (Internal and External) Factors



**SWOT Analysis**

The main aim of doing an environmental analysis is to produce a SWOT. SWOT stands for: strengths(S), weakness (W), opportunities (O), threats (T). Strengths and weaknesses are derived from the internal environment, while opportunities and threats are derived from the external environment (both macro and micro).

Companies need to maximize their strengths and minimize or eliminate their weaknesses so that it can take advantage of opportunities present in the external environment while mitigating the impact of threats that it has no control over.

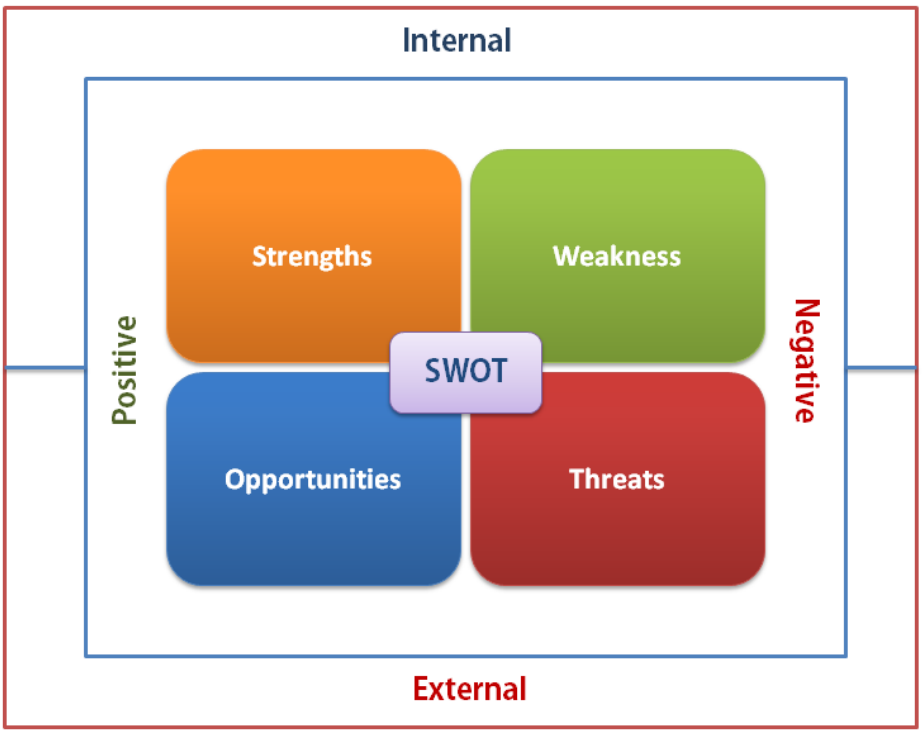



Fig 4: *SWOT showing the relationship to the internal and external environment; also, what is positive and negative for the organization.*

Figure 4 not only shows that strengths and weaknesses are internal while opportunities and threats are external, but it also shows that strengths and opportunities are positive to the firm while weaknesses and threats are negative. The SWOT helps the company to determine its goals and objectives or to decide whether its current plans should or should not be executed. The key purpose of the SWOT is to

identify the strategies that will create a firm specific business model that will best align the organization's resources and capabilities to the requirements of the environment in which the firm operates (http://managementstudyguide.com/swot-analysis.htm).

Strengths are systems, qualities, specific assets of the organization that helps it to meet its goals, take advantage of opportunities, and mitigating threats. Weaknesses, on the other hand, are those qualities within the firm that lowers its potential to meet its goals and retards the ability of the company to successfully compete. Opportunities are those benefits that arise in the external environment that the firm can potentially take advantage of; while threats are the negative things in the environment that hamper competitive advantage and profit maximization.

Examples of SWOT factors that impact the organization:

Strengths

- Management experience
- Competence
- Efficient Processes
- Good Cash Position

Weaknesses

- Poor organizational structure
- High staff turnover
- Outdated equipment
- Low efficiency

Opportunity

- New technology available
- Favourable foreign exchange rate
- Government incentives
- GDP Growth

Threats

- New business taxes being imposed
- Two large competitors entering the market
- Changing tastes of consumers away from the company's product

**Determination of Missions, Vision, Goals and Objectives**

Even before the firm engages in developing a strategy, the firm must understand what business it is in (mission) and where it intends to go in the future (vision). In figure 1, the vision and the mission impact the SWOT to determine goals and objectives. In other words, the current reality (mission) of the firm and where it wants to go (vision) must take into consideration its internal and external environments (SWOT) to determine the goals and objectives it should pursue; or whether the goals and objectives, in pursuit, are feasible.

**Mission**

An organization's mission is its reason for being. It is the definition of what business the company is in. Philp Kotler and John A. Pearce II (Higgins 1994), suggests that an organization's mission is its widely stated definition of its business scope and operations, a definition that distinguishes it from other similar organizations. UWI St. Augustine's mission statement is:

To advance education and create knowledge through excellence in teaching, research, innovation, public service, intellectual leadership, and outreach to support the inclusive (social, economic, political, cultural, environmental) development of the Caribbean region and beyond.

**Vision**

The vision is a long-term view of what the company is about. It is an idealized description of the desired outcome that inspires, energizes, and helps you create a mental picture of your target. It is normally given by the CEO or leadership of the organization, describing where the organization is going in general terms. Cipriani Labour College's vision is as follows:

With a proud tradition of accessible quality education, we aim to exceed the expectations of our students, staff, and other stakeholders as the premier tertiary educational institution in the Caribbean in the areas of Labour and Co-operative Education and a dynamic range of specialized and customized programmes.

**Goals**

The organization's goals are what it hopes to achieve in the medium to long term future; they reflect how the mission will be operationalized (Noe et al 2006). Goals are more specific than the mission and seek to address key issues of the firm, such as market standing, innovation, productivity, physical and financial resources, profitability, management performance and attitude, public responsibility, treatment of employees, growth efficiency, treatment of customers and returns to owners. For example, a goal could be to increase market share by 5%.

**Objectives**

Objectives are specific statements of anticipated results that further define the organization's goals. It is necessary to state objectives at least partly in terms of measurable performance targets. Each goal is subdivided into a set of very specific objectives. For example, if our goal is to increase market share by 5% one of our objectives could be to increase sales by 15% in the first year.

**Importance of goals and objectives**

Goals are important because it allows the organization to explain its mission in philosophical terms (Falconer 2001). Objectives are important to the organization for eight reasons:

- They provide specific direction
- They provide for the integration of employee actions
- They provide mechanisms for control. Objectives are typically broken down into standards of performance
- They motivate those who are assigned to take care of accomplishing them
- They help relieve boredom by providing a way of keeping score
- Feedback on the attainment of objectives can help provide recognition
- Achieving objectives help to raise self-esteem

- Achieving objectives, when combined with feedback, can lead an increased liking for the task and increase satisfaction with employee performance

**Strategy Formulation**

Strategy formulation requires that a choice be made of the type of strategy that should be implemented. Strategy formulation takes place at two levels: the corporate level and the business level.

A company with multiple products or service lines, for efficiency and accountability purposes, may have different divisions or companies called Strategic Business Units (SBU). SBU's are businesses within a larger corporation. For example, One Caribbean Media is one company but has many SBU such as TV6, The Express Newspapers, and several radio stations. Hence One Media Caribbean is a corporation with many SBU's. All these SBU's are profit centers for the larger organization.

At the corporate level, there are four generic strategies that a company can choose from. They are as follows:

a. Growth Strategies. Companies pursuing this has the following options:
    i. Concentration (growth in market share)
    ii. Vertical Integration
    iii. Diversification
b. Stability Strategy, with options such as:
    i. Neutral
    ii. Harvest (milk the investment)
c. Defensive (retrenchment) Strategy has the following options:
    i. Turnaround
    ii. Divestiture
    iii. Liquidation
    iv. Bankruptcy
d. Combination Strategy (combines all above)

Generic Strategies at the business (SBU) level are as follows:

a. Overall Cost Leadership
b. Product/service differentiation
c. Market Segment Focus

**Implementation Strategy**

It is at this period that the functional parts (production, marketing, finance, **human resource management,** etc.) of the organization need to structure and allocate resources to fulfill the mandates

and meet objectives outlined in the strategic plan. HR has to develop its strategy and planning to meet the goal of the organization. This is where our HR planning comes in.

**Human Resource Management and Strategy**

The overall strategy of the company and the human resource strategy are interdependent. If a company wishes to embark on a strategy that requires skills that the labour market cannot support then implementation would be frustrated. For example, if part of a company's strategy was opening a plant in Trinidad that produces highly sophisticated routers to supply the U.S market; it may fail because the skills may not be present in the market.

In theory, HRM should be involved at the highest level of strategy formulation. There are, however, four levels of integration existing between the HRM function and the strategic management function. These are as follows:

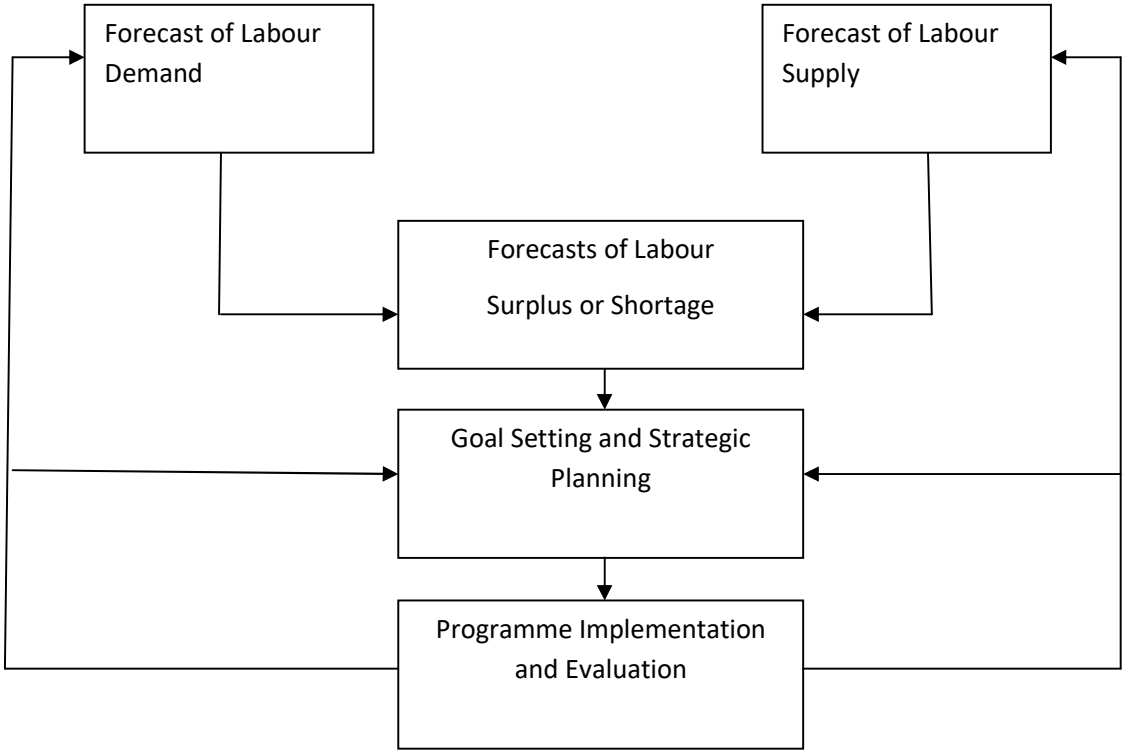
1. Administrative Linkage: this is integration at its lowest level where the focus of the HR executive is on day-to-day activities; HR has no input in planning; its core function is administrative work which is unrelated to core business needs. HR is divorced from the strategic management process in both formulation and implementation.
2. One-Way Linkage: Planners develop the strategy then inform HR of the plan. The role of HR is to design a system and programmes that implement the strategic plan. This level of integration leads to failure at the implementation stage.
3. Two Way Linkages: human resource issues are considered during the formulation of the strategy. There is a three-step process whereby first, the HR manager is informed of the strategy under consideration; secondly, the HR executive analyses the HR implications and presents results of his/her analysis; and finally, when the plan is finalized it is passed on to the HR executive to develop programmes in line with the strategy for implementation. At this level, we now see the interdependency of strategic planning and the HR function as mentioned above.
4. Integrative Linkage: this is the highest level of HR involvement in strategy formulation. It is a dynamic approach based on continuous interaction, with the HR executive being a part of senior management. At this level HR gives input to the direction of the company and the analysis of its environment.

**Sustainable Competitive Advantage**

All functional areas in an organization, including HR, should consider the development of sustainable competitive advantage (SCA), as its main role. Competitive advantage is an advantage, that a firm has over its competitors allowing it to generate greater sales or margins, and/or retain more customers than its competitors. SCA is a long-term competitive advantage that is not easily duplicable or surpassable by the competitors.

**HR Planning**

The procedure used to tie human resource issues to the organization's business needs is called human resource planning. The purposes of HR planning are to enable organizations to anticipate their future HRM needs and to identify practices that will help them to meet those needs. The process consists of forecasting, goal setting and strategic planning, and implementation.




**Demand Forecasting**

Demand forecasting involves predicting the quantity and skill sets of employees the organization will need at some future point in time. Demand forecasting is developed around specific job categories or areas. Two general approaches to demand forecasting: statistical and judgmental.

Statistical approach: an organization predicts its needed workforce size based on certain business factors; an example of a business factor is: sales volume; market share. For example, a manufacturer could use the business factor of sales volume to predict the number of machine operators it would need at some point in time. It is typically used if the firm is in a stable environment.

HR practitioners use the following tools when using the statistical approach:

1. Trend analysis: this is the practice of using historical information to look for useful patterns that can be used as a guide to predict recurrence in the future. For example, you can look at the

number of employees that voluntarily leave the organization each year over a five-year period to see if there is a pattern that we need to cater for when considering filling vacancies. The philosophy here is the possibility that the past will keep repeating itself.

2. Ratio Analysis: looks at the quantitative relationship between two variables, one of which is the causal factor (e.g., sales) and the other variable (e.g., number of employees) being influenced by the causal factor. This analysis also assumes that the trends of the past will repeat themselves.

3. The scatter plot: shows graphically, the numerical relationship between two variables. If a relationship does exist, you can then forecast a business factor (e.g., sales) then estimate your employee needs. For example, when our sales figure is $50,000, we needed three employees the trend as plotted may show that sales of $100,000 need five employees. So, if we are forecasting sales to be $100,000, we need to hire two more people.

Especially in a volatile environment, it is unlikely that trends will stay stable over time. Hence, managerial judgment becomes an important part of determining the demand for labour. The judgmental approach is also necessary. The judgment approach requires educated guesses from experts based on current trends and future predictions.

**Supply Forecasting**

Once the demand forecasting is complete, the company needs to determine the firm's supply of labour, both internally and externally. To determine the internal supply of labour calls for an analysis of the employees currently in the job categories under review; an analysis of near-future changes caused by retirement, promotion, transfers, and voluntary turnover is also required. Also, the inventory of skills available in the organization is critical.

An external scan must also be done to determine the level of access to outside sources. Managers must look at the skills available in their locale and economic indicators like the unemployment rate.

**Forecasting Labour Surplus or Shortage**

From the above categories, the planner can compare the figures to establish whether there is a shortage or a surplus in the respective categories. The result will require that appropriate action be taken to close any gaps discovered. Failure to do so might see a collapse in strategic implementation which could threaten competitive advantage.

**Goal Setting and Strategic Planning**

Goals should be specific and quantitative. This allows planners to focus attention on the problem and establish benchmarks to determine relative success closing the demand/supply gap.

Here are a few strategies geared toward reducing an expected labour surplus:

1. Downsizing
2. Pay reductions

3. Demotions
4. Transfers
5. Work sharing
6. Hiring Freeze
7. Natural attrition
8. Early retirement
9. Retraining

Here are a few strategies for avoiding an expected labour shortage:

1. Overtime
2. Temporary employees
3. Outsourcing
4. Retrained Transfers
5. Turnover reductions
6. New external hires
7. Technological innovation

**Programme Implementation and Evaluation**

A critical aspect of implementation is to make sure that individuals are held accountable and are given the appropriate resources and authority to ensure the stated goals are achieved. Progress reports are also necessary elements to ensure that timely progress is being made.

Last but not least is the evaluation of the results. The most important evaluation is to determine whether the gap has been closed. Further analysis of the process should also be made to determine which specific part of the planning process accounted for success or failure.

Questions

1. What is the importance of the SWOT analysis?
2. Why is an environmental analysis important to a company's strategic choice and its HR planning process?
3. Briefly explain the four (4) levels of integrations existing between the HRM function and the strategic management function.